

FIRST-TIME BUYERS

The First-Time Buyer's Playbook

The My Grate Mortgage Playbook · 10 min read

Buying your first home is equal parts exciting and overwhelming. This playbook walks you through the whole journey in plain English — from getting your finances ready to picking up the keys — so nothing catches you off guard.

1. Start with your number, not a house

It's tempting to start scrolling listings, but the first real step is understanding what you can comfortably afford. Your monthly payment — not the purchase price — is what shapes your daily life. Before anything else, get a pre-approval: it's free, doesn't obligate you, and turns a vague budget into a concrete number you can shop with.

A pre-approval also makes your offer far stronger. In a competitive market, sellers take pre-approved buyers seriously and often won't consider offers without one.

2. Get your finances buyer-ready

A few months of preparation can meaningfully improve your options. Focus on:

- **Credit.** Pull your reports, dispute errors, and avoid opening or closing accounts before applying. Pay down balances where you can — lower utilization helps.
- **Savings.** You'll need money for a down payment, closing costs, and a cushion of reserves. Lenders like to see you'll still have savings after closing.
- **Stability.** Avoid changing jobs or making large, unexplained deposits right before or during the process — both can complicate underwriting.

3. Understand the real costs

Your upfront cost is more than the down payment. Plan for three buckets:

- **Down payment.** Many programs allow far less than 20% — some as low as 3–5%, and certain programs require nothing down. A smaller down payment usually means mortgage insurance until you

Questions? Call or text (323) 313-8761

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Your loan officer: Anthony "Tony" Pelayo · NMLS #1501920

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build equity.

- **Closing costs.** Typically a few percent of the loan amount — lender fees, title, appraisal, taxes, and prepaid escrow items.
- **Reserves.** Money left over after closing for moving, repairs, and life.

The goal isn't to borrow the maximum you qualify for — it's to buy a home that still feels comfortable on a slow month.

4. The buying timeline

1. **Pre-approval** — verify your numbers and get your letter.
2. **House hunt** — shop within your approved range with an agent you trust.
3. **Make an offer** — your agent and loan officer help you structure it.
4. **Under contract** — inspection, appraisal, and underwriting happen here. We handle the heavy lifting.
5. **Final approval & closing** — sign, fund, and get your keys.

5. Mistakes first-timers make (and how to skip them)

- Shopping for homes before getting pre-approved.
- Forgetting closing costs and reserves in the budget.
- Making big purchases (a car!) or opening credit during the process.
- Skipping the inspection to win a bid.
- Not asking questions — there's no such thing as a dumb one.

Your next step

Read this through once, then start with a no-pressure conversation. We'll tell you exactly where you stand and what to do next — at your pace.

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